M/S Sepc Power Private Limited vs Tamil Nadu Generation And Distribution ... on 25 February, 2026

IN THE APPELLATE TRIBUNAL FOR ELECTRICITY
(Appellate Jurisdiction)

REVIEW PETITION NO. 03 OF 2026

Dated: 25th February, 2026
Present: Hon'ble Mr. Justice Ramesh Ranganathan, Chairperson
Hon'ble Smt. Seema Gupta, Technical Member (Electricity)

In the matter of:

M/s SEPC Power Private Limited,
Through Its Vice President,
MEIL House, First Floor,
395, Anna Salai, Teynampet,
Chennai - 600018. ... Peti

VERSUS

1. TAMIL NADU GENERATION AND DISTRIBUTION CORPORATION LTD.
(Presently Known As Tamil Nadu Power Distribution Corporation Ltd.)
Through its Chairman cum Managing Director
N.P.K.R.R. Maaligai,
No.144, Anna Salai,
Chennai - 600002.

2. TAMIL NADU ELECTRICITY REGULATORY COMMISSION
Through its Secretary,
4th Floor, SIDCO Corporate Office Building,
Thiru Vi Ka Industrial Estate,
Guindy, Chennai - 600032

Counsel for the Petitioner(s) : Ms. Poonam Verma Sengupta
Ms. Gayatri Aryan
Mr. Rajesh Jha
Mr. Palash Dilip Moolchandan
for App.1

Counsel for the Respondent(s) : Ms. Anusha Nagarajan
for Res.1

Order in Review Petition No.03 of 2026

ORDER

PER HON'BLE MRS. SEEMA GUPTA, TECHNICAL MEMBER (ELECTRICITY) This petition is filed seeking review of the order passed in Appeal No. 910 of 2023 dated 27.01.2025. The relief sought in the Review Petition is to clarify Para 37 of the judgment, in Appeal No. 910 of 2023 dated 27.01.2025, on the imported coal index procurement mechanism meant for procurement of imported coal which is the cheapest/ lowest of the two options i.e. (i) cheapest of AP13, AP15 AND IC12 or (ii) Average of AP13, AP15, IC12 AND IC13; and to clarify that the decision in Judgement under Review, i.e. in Appeal No. 910 of 2023 dated 27.01.2025, is limited to imported coal index procurement mechanism and does not extend to other factors of variable tariff under the PPA.

Ms. Gayatri Aryan, Learned Counsel for the Review Petitioner, would submit that, while the earlier proceedings of this Tribunal dated 07.11.2024 (passed in Appeal No. 910 of 2023) records their consent to items 2&3 of the proposal given by TANGEDCO, they had subsequently, by way of their written submissions, explained what they meant by giving the consent on 07.11.2024; they had put-forth such submissions during the hearing held on 12.12.2024; the contents of their written submissions are duly noted in para 25 of the final judgment; and yet this Tribunal, while issuing directions in para 37 of the final judgment, proceeded on the basis of what was recorded in the proceedings dated 07.11.2024, and not as explained in their written submissions, the contents of which were duly noted in para 25 of the final judgment. Learned Counsel would rely on Compack Enterprises India Private Limited Vs Beant Singh: (2021) 3 SCC 702.

In its proceedings dated 07.11.2024, this Tribunal, after noting that the Learned Senior Counsel, appearing on behalf of the Appellant, had

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placed before this Tribunal the proposed interim arrangement which the Appellant desired to be put in place, pending disposal of the main appeal, observed that, while there appeared to be no dispute between the parties on either side with regards item Nos.2 and 3 of the said proposal, Learned Senior Counsel appearing on behalf of the 2nd Respondent had submitted that they were agreeable even to item No.1 so long as their right under Section 11(2) of the Electricity Act to approach the Commission was protected; this submission, urged on behalf of the 2nd Respondent with respect to item No.1, appeared to be reasonable, since the right conferred under Section 11(2) of the Electricity Act was a statutory right; and it was always open to the 2nd Respondent, in case they were aggrieved by any order passed by the Commission under Section 11(2) of the Electricity Act, to invoke the appellate jurisdiction of this Tribunal.

Items 2 and 3 of the proposal given by the Appellant, which was duly noted in the proceedings of this Tribunal dated 07.11.2024, has been extracted in Para 29 of the judgment under review dated 27.01.2025. The said Items 2 & 3 read thus:

> "2. SEPC shall furnish the details of the indices of the available coal along with prices, 5 days prior to placing of order and TANGEDCO may verify and approve the same. In case there is no agreement reached, the cost of the imported coal shall not exceed the Argus index price of the cheapest of the indices of coal specified in the PPA (as amended by Addendum 3) - that is, API3, API5, ICI2, and ICI3 [Schedule 1 @Pg. 801 of Appeal). The index price of the cheapest of the said indices shall be adjusted to the

grade of coal actually procured by SEPC.

3. The above will give effect to the Impugned Order, which provides for the Argus index price as the ceiling for coal price, in addition to preserving the provisions of the PPA. Such a

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provision is essential considering that SEPC does not have a firm long-term arrangement for purchase of imported coal, and has beer procuring coal of varying indices, beyond the indices permitted in the PPA."

In Para 29 of the judgment under review, this Tribunal observed that they were saved from the exercise of adjudicating all these issues in as much as the Appellant had made the following proposal, a part of which had been agreed by the 2nd Respondent; the 2nd Respondent had agreed for the arrangement at Sl. No 2 &3; they had also agreed for Sr. No 1 as long as their rights under Section 11(2) of the Electricity Act to approach the State Commission was protected, which was found to be reasonable by this Tribunal in its order dated 07.11.2024 passed in the present appeal.

Thereafter, this Tribunal in Para 37 of the Judgment under review, observed as under:

"37. In view of the fore-going discussion, we hold that with the consent of the Appellant and Respondent No 2, the Interim arrangement made in the Impugned order for procurement of imported coal for supply of power to the Appellant till Respondent No.2 secures domestic coal linkage, stands modified as "the Respondent No 2 shall furnish the details of indices of the available coal along with prices, 5 days prior to placing the order and the Appellant-TANGEDCO may verify and approve the same. In case no agreement is reached for calculation of VFC, the cost of imported coal shall not exceed the Argus index price of the cheapest of the indices of coal specified in the Addendum # 3 of the PPA that is API3, API5, ICI2 and ICI3. The index price of the cheapest price of the said indices shall be adjusted to the grade of coal actually procured by Respondent No 2-SPEC as per the provisions of the PPA". As the only objection which the second

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Respondent has with respect to signing of Addendum # 4 of PPA has now been resolved by this order, both parties shall enter into Addendum # 4 of PPA, in terms of the aforesaid direction within 3 months from the date of receipt of the copy of this order."

The submission of Ms. Gayatri Aryan, Learned Counsel for the Review Petitioner, in short is that this Tribunal had failed to take into account the written submissions filed on behalf of the 2nd Respondent on 19.12.2024 pursuant to their oral submissions during the hearing held on 12.12.2024; the contention urged by them, during their oral submissions on 12.12.2024, is reproduced in their written submissions which has also been extracted in Para 25 of the impugned judgment which, with respect to proposal No. 2 and 3, reads under:

"(b) Proposal at Sr. No. 2 and 3 - Respondent No 2 ("SEPC") is agreeable to receiving VFC as per Appellant's proposal at Sr. No. 2 without any "discount" provided the formula for procurement of imported coal is computed as per Appellant's prayer (c) viz:

Lowest amongst (i) the approved indices of API3, API5 and ICI2, and (ii) Average of API3, API5, ICI2 and ICI3. Appellant's Prayer

(c) (without discount) is same as formula prescribed under Addendum #3 - also part of SEPC's undertaking."

Even on a cursory reading of the afore-extracted portion of the Written Submissions, it is evident that the stand taken by the 2nd Respondent therein is at variance with the proposal given by the Appellant with respect to Items 2 and 3 to which the 2nd Respondent had given its unqualified consent during the hearing before this Tribunal on 07.11.2024, which has been duly recorded in the proceedings of the said date.

All that is recorded in the proceedings of this Tribunal dated 12.12.2024, when hearing of the main appeal stood concluded, is that oral

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submissions on both sides stood completed, and the Learned Senior Counsel appearing on behalf of the Appellant and the 2nd Respondent had sought one week's time to file their respective gist of submissions of not more than two pages. The matter was directed to be posted on 19.12.2024. The proceedings of this Tribunal dated 19.12.2024 records that Counsel on both sides stated that their written submissions were ready and would be filed in the Registry during the course of the day, and they undertook to make available soft copies of their respective written submissions on the same day. After recording the aforesaid contentions, judgement was reserved. The contention now urged on behalf of the 2nd Respondent in their review petition, that they had sought to explain their consent during the oral hearing on 12.12.2024, is neither reflected in the record of proceeding dated 12.12.2024 nor has it been so stated in the written submissions filed by them on 19.12.2024.

It is relevant to note that, in the written submissions filed by them on 19.12.2024, the 2nd Respondent has made no reference to the order of this Tribunal dated 07.11.2024 which recorded their unqualified consent with respect to Items 2 and 3 of the proposal of the Appellant. The fact that they had given their consent, as recorded in the proceedings of this Tribunal dated 07.11.2024, is not even denied in the written submissions filed by them on 19.12.2024.

The 2nd Respondent has, at no point of time, sought to have the proceedings dated 07.11.2024 corrected. They have not even contended that what was recorded in the proceedings dated 07.11.2024 suffered from any error. Even in a case where the concession made before the High Court was disputed before them, the Supreme Court, in State of Maharashtra v. Ramdas Shrinivas Nayak: (1982) 2 SCC 463, observed that they could not launch into an enquiry as to what transpired in the High Court; it was simply not done; Public policy barred them; Judicial decorum

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restrained them; matters of judicial record were unquestionable; they were not open to doubt; Judges could not be dragged into the arena; Judgments could not be treated as mere counters in the game of litigation; they were bound to accept the statement of the Judges recorded in their judgment, as to what transpired in court; they could not allow the statement of the Judges to be contradicted by statements at the Bar or by affidavit and other evidence; if the Judges said in their judgment that something was done, said or admitted before them, that had to be the last word on the subject; the principle was well-settled that statements of fact as to what transpired at the hearing, recorded in the judgment of the court, were conclusive of the facts so stated and no one could contradict such statements by affidavit or other evidence; If a party thought that the happenings in court had been wrongly recorded in a judgment, it was incumbent upon the party, while the matter was still fresh in the minds of the Judges, to call the attention of the very Judges who had made the record to the fact that the statement made with regard to his conduct was a statement that had been made in error; this was the only way to have the record corrected; if no such step was taken, the matter must necessarily end there; a party may not call in question the very fact of making the concession as recorded in the judgment; the Judges' record is conclusive; and neither lawyer nor litigant may claim to contradict it, except before the Judge himself, but nowhere else.

After perusing the contents of the written submissions made before the High Court, the Supreme Court, in Ramdas Shrinivas Nayak, observed that oral submissions do not always conform to written submissions; in the course of argument, counsel, often, wisely and fairly, make concessions which may not find a place in the written submissions; and discussion draws out many a concession.

In the review petition filed by them on 31.10.2025, nine months after the judgment under review was passed on 27.01.2025, the 2nd Respondent has sought a clarification to the consent given by them earlier on 07.11.2024, stating that they had clarified that the consent given on 07.11.2024 to the imported coal procurement mechanism was based on their understanding that the proposal in Para 2 was the same as the imported coal procurement mechanism which formed part of the CSTA and addendum #3 i.e. imported coal had to be procured which was cheapest of the two options i.e. (i) cheapest of three indices viz. AP13, AP15, or IC12 or average of AP13, AP15, IC12, and IC13. The 2nd Respondent further stated in the said review petition as under:

> "TANGEDCO is attempting to incorrectly interpret this mechanism ie. Instead of "cheapest of three index mechanism" it is seeking to implement cheapest of four index mechanism by ignoring Petitioner's qualified consent under Para 25 of the Judgment under Review."

It is not even contended by the 2nd Respondent, in the Review Petition filed by them, that this Tribunal, in its proceedings dated 07.11.2024, had wrongly recorded their consent on Items 2 and 3 of the Proposal made by the Appellant. In the written submissions filed by them, the consent given by them earlier is sought to be explained, which is at variance with the Proposals put-forth by the Appellant on Items 2 and 3. Having given their unqualified consent to Items 2 and 3 of the Appellant's proposal, during the hearing held on 07.11.2024, the 2nd Respondent, evidently, now

seeks to wriggle out of the consent given by them earlier, seeking to justify their change in stand on the basis of their explanation in their written submissions.

Written submissions are filed by Counsel to supplement the oral submissions put forth by them during the hearing of the main Appeal, and

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to crystallize and summarize their Oral submissions. Consent, on the other hand, is given by Counsel only on the instructions of the party/client. As noted hereinabove, the hearing of the main appeal stood concluded on 12.12.2024, and the written submissions were filed one week thereafter on 19.12.2024. It is not as if any application was filed by the 2nd Respondent to have the proceedings dated 07.11.2024 suitably corrected, if they believed that the said orders suffered from any error. The very fact that, neither in the written submissions filed on 12.12.2024 nor in the review petition filed by them on 31.10.2025 has the 2nd Respondent even contended that what was recorded in the proceedings dated 07.11.2024 suffered from an error which necessitated correction, establishes that what was recorded by this Tribunal, in the proceedings dated 07.11.2024, is the unqualified consent given on behalf of the 2nd Respondent on Items2 & 3 of the Proposal made on behalf of the Appellant. The 2nd Respondent now seek to take shelter on their so-called understanding of Items 2 and 3 of the proposal, though their consent to Items 2 and 3 of the proposal, as recorded in the proceedings dated 07.11.2024 is without any qualification or conditions.

Having given their unqualified consent to Items 2 & 3 of the Appellant's proposal as recorded in the proceedings dated 07.11.2024, and since what was recorded therein is not even contended to suffer from any error, it is not open to the 2nd Respondent to now seek to rely on their so called understanding, of Items 2 & 3 of the Proposal, in the Petition filed by them nine months later seeking review of the Appellate order passed by this Tribunal on 27.01.2025.

In Compack Enterprises India Private Limited vs Beant Singh:

> (2021) 3 SCC 702, on which reliance is placed on behalf of the Review Petitioner, both the Petitioner and the Respondent had filed cross appeals before the High Court against the judgement of the trial court, seeking
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> reduction and enhancement, in the quantum of mesne profits, respectively. The High Court passed a consent decree whereby the Petitioner was required to pay the Respondent, by way of mesne profits, an enhanced sum of Rs.1,00,000/- with 10% increase after every 12 months till the Petitioner handed over actual possession of the suit property. Aggrieved by the consent decree, the Petitioner filed a review petition contending that the High Court, in the first appeal, had erred in recording the terms of the consent decree agreed to by the petitioner. The High Court rejected the contention and held that there was no error apparent on the face of the record to justify its review, and that the Petitioner was dishonestly trying to wriggle out of the consent decree by attempting to overreach the Court. The review petition was dismissed with exemplary costs of Rs.1,00,000/- payable by the Petitioner to the Respondent.

Before the Supreme Court, it was contended, on behalf of the Petitioner, that the High Court ought to have, while recording the terms of the consent decree, recorded a 10% increase in mesne profits every 24 months, instead of 12 months; this typographical error was borne out by the fact that a 10% increase every 24 months closely mirrored the terms of the licence agreements where the licence fee was increased by 10% every 30 months; and the reference to a 10% increase "after every 12 months i.e. from 1-10-2009, 1-10-2011, etc., etc." in the first impugned judgment of the High Court dated 14-2-2019 also corroborated this.

It is in this context that the Supreme Court observed that consent decrees were intended to create estoppel by judgment against the parties, thereby putting an end to further litigation between them; Courts would be slow to unilaterally interfere in, modify, substitute or modulate the terms of a consent decree, unless it is done with the revised consent of all the parties thereto (Gupta Steel Industries v. Jolly Steel Industries (P)

Ltd., (1996) 11 SCC 678; Suvaran Rajaram Bandekar v. Narayan R. Bandekar, (1996) 10 SCC 255); however, this formulation was far from absolute and did not apply as a blanket rule in all cases; the Supreme Court, in Byram Pestonji Gariwala v. Union Bank of India, (1992) 1 SCC 31, had held that a consent decree would not serve as an estoppel, where the compromise was vitiated by fraud, misrepresentation, or mistake; further, the Supreme Court, in the exercise of its inherent powers, may also unilaterally rectify a consent decree suffering from clerical or arithmetical errors, so as to make it conform with the terms of the compromise; and the present petitions thus must be answered in light of the above stated position of law.

The Supreme Court further observed that it would be cautious in exercising its inherent power to interfere in this consent decree, except where there is any exceptional or glaring error apparent on the face of the record.

On the question of mesne profits, the Supreme Court observed that the High Court, in noting that "this figure of mesne profits of Rs 1 lakh will be increased by 10% after every 12 months i.e from 1-10-2009, 1-10- 2011, etc., etc.", had confused not only himself, but also the parties to the litigation; there was an inconsistency insofar as there was a gap of every alternate year i.e. from 2009 to 2011, in the example used by the High Court even though the decree noted an increase of 10% in mesne profits after every 12 months; the aforementioned inconsistency in the extract of the consent decree was an error apparent on the face of the record; and this was a fit case to exercise the inherent jurisdiction to correct the terms of the consent decree, to bring it in conformity with the intended compromise.

The Supreme Court, thereafter, registered its displeasure at the petitioner's repeated and persistent efforts to re-agitate the question of

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delivery of possession to the respondent, in an attempt to circumvent complying with the view taken by the High Court in its judgment in Beant Singh v. Compack Enterprises (India) (P) Ltd., 2014 SCC OnLine Del 2427, which had attained finality; despite the clear direction in that judgment to vacate possession in favour of the respondent, pending any adjudication on the separate proceedings for

possession and specific enforcement, possession had, till date, not been handed over to the respondent, who has been dragged to the court time and again due to the petitioner's conduct; and this was an instance of blatant disregard for the Court's orders, and an abuse of judicial process.

The Petitions were disposed of, with a direction to the petitioner to take steps for handing over possession of the suit property to the respondent within eight weeks; the Registry was directed to expeditiously release the arrears of mesne profits, if any, already deposited by the petitioner before the Supreme Court to the respondent; and the petitioner was further directed to pay to the respondent all arrears, with the limited modification that the mesne profits were to be treated as increasing by 10% every alternate year.

As noted hereinabove, the Petitioner, in Compack Enterprises India Private Limited, had filed the review petition contending that the High Court had erred in recording the terms of the consent decree agreed to by the petitioner. In the present case, however, it is not even contended by the 2nd Respondent-Review Petitioner that what was recorded by this Tribunal, in its proceedings dated 07.11.2024, suffered from any error. On the other hand, what is sought to be done firstly by way of the written submissions dated 19.12.2024, and thereafter in the Review Petition filed on 31.10.2025, is to explain what they meant by giving their consent during the hearing held on 07.11.2024. It is not even their case that they had offered any such explanation for their consent during the hearing on

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07.11.2024 or that their explanation was not recorded by this Tribunal in the said proceedings dated 07.11.2024.

As what was recorded in the proceedings of this Tribunal dated 07.11.2024 remains undisputed, and it is evident therefrom that the consent given on behalf of the 2nd Respondent was unqualified, it cannot be said that the impugned judgment, which proceeds on the basis of such a consent in Para 37, suffers from any error, much less an error apparent on the face of the record which would justify interference in review proceedings.

Having given their unqualified consent to Items 2 and 3 of the proposal of the Appellant, as is evident from what has been recorded in the proceedings dated 07.11.2024, it is not open to the 2nd Respondent to, subsequently, seek to explain what they meant by giving such an unqualified consent. We are satisfied that the order under review does not suffer from an error apparent warranting interference in the present review proceedings. The review petition fails and is accordingly dismissed. All the IAs therein shall also stand dismissed.

PRONOUNCED IN THE OPEN COURT ON THIS THE 25th FEBRUARY, 2026.

(Seema Gupta)
Technical Member

(Justice Ramesh Ranganathan)
Chairperson

REPORTABLE / NON-REPORTABLE